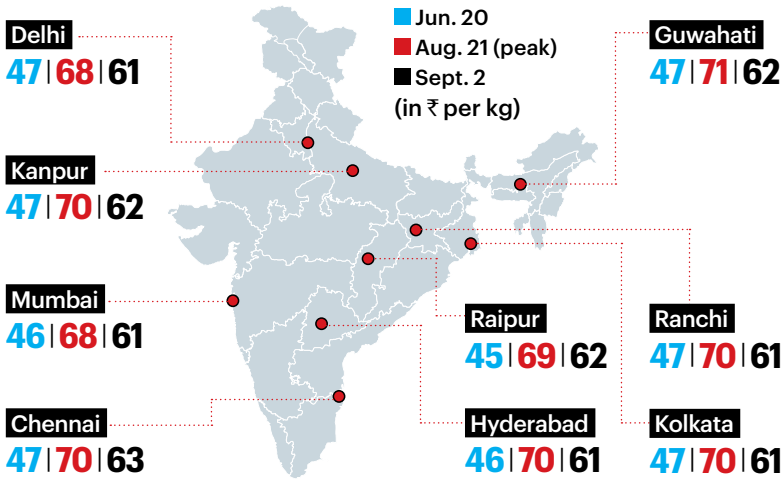
ANATOMY OF THE SUGAR PRICE SHOCK

Retail sugar prices have climbed across India, adding to the festive season's inflationary pressure on consumers. Here's why



Retail prices of sugar, including GST, in nine cities; Source: chinimandi.com

- **SEPTEMBER-NOVEMBER 2025:** ISMA, the industry body, forecasts a bumper crop, projecting production at 34.35 MT. After an estimated 3.4 MT diversion to ethanol, net output for sugar production is put at 30.95 MT
- **SEPTEMBER 2025:** Union Department of Food and Public Distribution (DFPD) permits ethanol production from cane juice, syrup and molasses without quantitative restrictions during the 2025-26 ethanol supply year
- **NOVEMBER 2025:** DFPD permits 1.5 MT of exports and later offers mills an additional 0.5 MT
- **FEBRUARY-APRIL 2026:** ISMA reduces gross output to 32 MT and by April end reports actual production at 27.53 MT
- **MAY 2026:** Union commerce ministry prohibits further exports, restricting it to the 800,000 tonnes that had been contracted
- **JULY-AUGUST 2026:** With production and stocks tighter than expected, speculative stocking and festive demand intensify pressure; retail prices surge from Rs 46 a kg on Jun. 20 to Rs 68 on Aug. 20
- **AUGUST 2026:** Government responds to the shortfall: permits duty-free imports of 1 MT, DFPD caps dealer stocks at 400 tonnes and limits bulk consumers to 15 days' requirements
- **AUG. 22-SEPT. 1, 2026:** Prices retreat. Imports, stock limits and inspections force more sugar into the market. Both ex-mill and retail prices fall, but remain well above the level prevailing before the surge. Dealer stock limit further cut to 200 tonnes

society or supply calendar. India has 530 operating sugar factories, split between private mills and a large cooperative sector. UP is dominated by private mills; Maharashtra's cooperative factories have long been central to the state's rural economy and politics.

The Centre fixes the Fair and Remunerative Price (FRP) that mills must pay farmers. It was Rs 355 a quintal for the 2025-26 season at a basic recovery of 10.25 per cent—a measure of how much sugar is extracted from cane. UP and other states prescribe a higher State Advised Price (SAP). Then, the Centre fixes a minimum ex-mill selling price for sugar, currently Rs 31 a kg, although actual wholesale and retail prices are market-driven above it. The Centre also controls how much mills may release domestically each month and whether, and how much, the country may export.

THE CENTRAL TENSION

A modern sugar mill also earns from ethanol, molasses, bagasse-based power and the leftover press mud. Ethanol has become important because public sector oil companies offer a large, relatively assured market at feedstock-linked prices. Mills can extract the maximum crystal sugar and make ethanol from residual C-heavy molasses (the final byproduct after the third stage of sugar extraction), stop crystallisation earlier and divert B-heavy molasses (an intermediate byproduct after the second stage), or use cane juice or syrup. The Centre can regulate this diversion depending on expected sugar availability.

That is the industry's central tension. The price of cane is fixed politically and rises periodically, while the mill's principal output is sold into a partly controlled market. If sugar prices fall, mills struggle to pay farmers and cane arrears accrue. If prices rise sharply, consumers face food inflation. Ethanol and exports are meant to absorb a surplus; imports and larger domestic releases are meant to meet a shortfall. The system works only if production and stocks are estimated correctly and policy changes in time. When they don't, errors pile up and can prove costly, as happened this season.

In November 2025, the official problem appeared to be abundance. The